Does Stamp Duty Make UK Shares Cheap?

Prices Say No, Takeovers Say Maybe

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Abstract

The UK charges a 0.5% tax (stamp duty reserve tax, SDRT) every time a share in a UK company is bought. A common argument holds that the tax makes UK shares cheap, drives investors abroad, and so turns UK companies into easy takeover targets. If buyers capitalise every future payment of the tax, the discount should be about $0.005 \times \text{turnover}/r$: around 3% of the price for the median UK stock, and more for stocks that trade often. We test the price part in two settings where only the tax differs. When the tax on AIM shares was abolished in 2013–14, AIM stocks did not rise, and stocks that trade more rose no more than stocks that trade less, although the tax predicts up to a 5.5% gain for them. Unilever's UK share line, which paid the tax, traded at parity with its untaxed Dutch twin for 14 years. Carnival's UK line traded at a premium for most of 2004–16. The one piece of support is on takeovers: across 15 European markets, UK companies whose shares trade more are more likely to receive a bid, and this slope is steeper than in untaxed markets. That pattern may reflect UK takeover rules rather than the tax.

1 The claim, and why it matters

A buyer of a UK share pays 0.5% of the price in tax. A share that changes hands T times per year pays $0.005\,T$ of its value in tax each year, forever. If buyers know this, and discount at rate r, the price falls by the present value of all future payments (Amihud and Mendelson, 1986):

$$\text{discount} \;\approx\; \frac{0.005\,T}{r}.$$

With $r = 8\%$ and the median UK annual turnover of 0.46, the discount is about 3% of the price. For a stock that turns over once a year it is about 6%. The prediction has a sharp feature: the discount grows one-for-one with turnover. Any test should check the dose-response, not just the level.

The argument that follows is common in the UK debate about the decline of the London market. If UK shares are cheap, foreign investors hold fewer of them, and acquirers, especially private equity, can buy UK companies at a discount. Whether the first step, cheap prices, holds is an empirical question that can be checked in settings where only the tax changes.

2 Data

All data come from standard databases. Daily prices, returns, volume and shares outstanding come from Datastream for the UK and 14 other European markets, 1995–2026 (69 million firm-days, 10,739 UK securities). AIM membership comes from monthly FTSE AIM All-Share constituent lists, because Datastream's exchange field does not separate AIM from the Main Market. Takeover bids come from SDC Platinum (announced bids, completed or not, for control of listed targets by acquirers holding under 50%), linked to Datastream by SEDOL. Institutional ownership comes from FactSet. Turnover is annual volume divided by shares outstanding.

3 Results

1. Abolishing the tax on AIM shares did not raise AIM prices. On 20 March 2013 the Chancellor announced that shares on AIM, London's junior market, would be exempt from stamp duty from April 2014. We compare 719 AIM stocks with 194 Main Market firms under GBP 500m, which kept paying the tax. On the announcement day AIM stocks beat this group by 0.49%. That is not unusual: the spread was larger on 9% of all trading days in 2011–14. The gain was gone 20 days later.

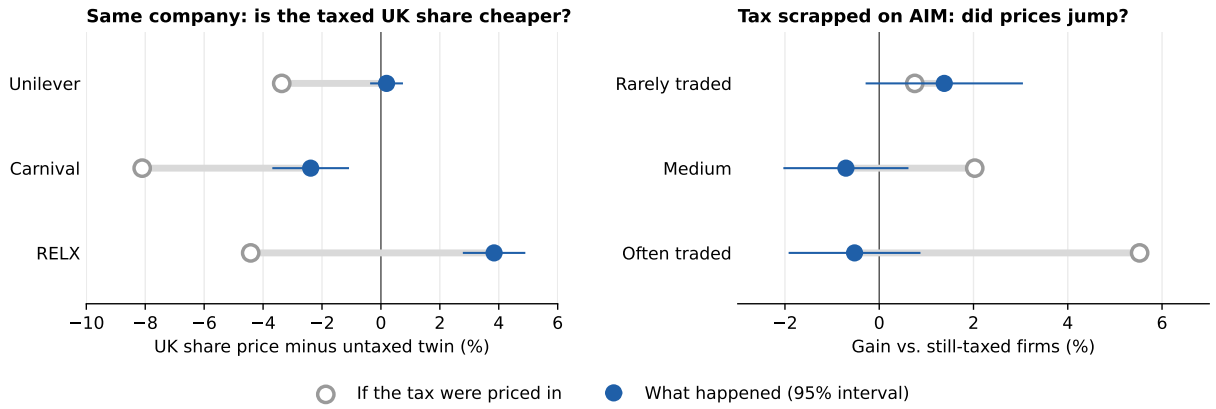


Figure 1: Grey: price effect if buyers priced in all future stamp duty. Blue: actual. Left: mean price gap between a company's UK share and its untaxed foreign twin. Right: AIM stocks' return in the six days after the tax was scrapped (20 March 2013), relative to small Main Market firms that still paid it, by how often the stock trades.

Table 1: Main estimates. Standard errors in parentheses. Predicted values use $r = 8\%$.

	Estimate	Predicted by tax	N
1. AIM exemption (AIM minus Main Market firms under GBP 500m)			
Return, announcement day	0.49%	about 2%	913 firms
Slope of days 0 to +5 return on turnover	−0.0025 (0.0012)	+0.0625	695 firms
log turnover after removal	0.035 (0.016)	> 0	19,638 firm-months
Foreign institutional ownership (pp)	0.4 (0.35)	> 0	11,121 firm-quarters
2. Bids, 15 European markets, 1995–2024			
Bid probability on $0.005\,T/r$	0.10 (0.03)	> 0	109,182 firm-years
same, last year's turnover	0.105 (0.032)	> 0	
Extra UK slope on turnover vs untaxed markets	0.019 (0.005)	> 0	
Within UK: change in AIM slope after exemption	−0.044 (0.029)	< 0	18,665 firm-years
3. Same company, two lines: mean log(UK line / foreign line)			
Unilever PLC / NV, 2006–20	0.2% (0.3%)	−3.4%	3,615 days
Carnival plc / Corp, 2003–26	−2.4% (0.7%)	−8.1%	5,662 days
RELX PLC / NV, 2015–18	3.8% (0.5%)	−4.4%	802 days

Row 1: day-0 spread of equal-weighted returns; it is at the 91st percentile of the same spread on all trading days 2011–14. Row 2: OLS across AIM stocks with log market value as control, heteroskedasticity-robust standard errors. Rows 3–4: firm and month (quarter) fixed effects, standard errors clustered by firm. Panel 2: linear probability models with market-by-year fixed effects and controls for log turnover, log market value, past return and volatility; standard errors clustered by firm. The untaxed markets are Germany, the Netherlands, Sweden, Denmark, Norway, Finland and Austria. Panel 3: Newey-West standard errors with 60 lags. Predicted values use the median turnover of the UK line.

The decisive check is the dose-response. A stock that turns over 0.9 times a year should have gained about 5.5%; one that turns over 0.1 times, under 1%. The opposite happened (Figure 1, right). Across AIM stocks, the return from day 0 to day +5 falls slightly with turnover, with a slope of −0.0025 (Table 1). Full capitalisation predicts +0.0625. Two cautions apply. Many AIM stocks trade rarely (the median stock had no price change on 56% of days in 2012), so returns over a few days are noisy. And AIM shares also became eligible for tax-free ISA accounts in 2013. Neither caution explains a dose-response with the wrong sign.

The tax was not irrelevant. AIM turnover rose about 3.5% relative to the control group once it was removed. But foreign institutions did not buy in: their share of AIM stocks changed by 0.4 percentage points, an amount we cannot distinguish from zero.

2. The same company trades at the same price whether or not the tax applies. Some companies have two share lines with equal claims on the same profits, one listed in London and one abroad. Only the London line pays stamp duty, so a tax discount should show up as a gap between them. Unilever PLC and Unilever NV in Amsterdam traded at parity from 2006 to 2020: the London line averaged 0.2% above the Dutch line, against a predicted 3.4% below. Carnival plc traded 2–6% above Carnival Corp in New York for most of 2004–16, against a predicted 6–20% below. RELX's London line traded 3.8% above its Dutch line in 2015–18. Figure 1 (left) compares each pair with the tax prediction.

Carnival's London line did fall to a 10–15% discount in 2020–25. Its turnover also rose sharply when cruise travel stopped, so the predicted discount widened at the same time, as it did in 2008. Over the whole sample the gap moves with turnover in the right direction, but with a slope about a third of the predicted one. Crises raise turnover and also push investors toward the more liquid New York line, so this co-movement need not reflect the tax. Large and persistent gaps between twin shares are well documented elsewhere (Froot and Dabora, 1999), and they are mostly driven by where each line is held and indexed. Each pair also faces other tax differences: Dutch dividend withholding tax favours the London lines of Unilever and RELX, and Australian franking credits favour the Sydney lines of Rio Tinto and BHP, which trade 10–11% above their London lines. For these reasons we do not lean on the Australian pairs.

3. Takeovers: one pattern fits the story. Across 109,000 firm-years in 15 European markets, we regress an indicator for receiving a bid on the tax wedge $0.005\,T/r$, which is zero outside the UK. The coefficient is 0.10 (Table 1). It is the same when turnover is measured in the year before, so trading on bid rumours does not drive it. At the UK median it adds about 0.3 percentage points per year to a 2.8% bid rate. Put simply, UK bid probability rises with turnover more steeply than in untaxed markets: from 2.2% in the lowest UK turnover tercile to 4.8% in the highest, against 1.2% to 2.0% elsewhere.

Because the comparison is between the UK and other countries, it cannot separate the tax from anything else that is British, such as the UK Takeover Code, the depth of UK private equity, or shareholder structure. A cleaner test uses only UK firms: after AIM shares became tax-free, the bid-turnover slope on AIM should flatten relative to the Main Market. It does flatten, by 0.044, but the standard error is 0.029, so we cannot rule out no change.

4. French and Italian taxes are uninformative. France (2012, firms above EUR 1bn) and Italy (2013, firms above EUR 500m) introduced similar taxes that apply only above a market-value threshold. Comparing firms just above and below the threshold, we cannot detect any change in turnover, so there is nothing for prices, ownership or bids to respond to. All estimates are wide and centred near zero.

4 Why it matters

The idea that stamp duty makes UK companies cheap is used to argue that abolishing the tax would revive the London market and protect UK companies from takeovers. The two cleanest price tests point the other way. When the tax disappeared for a whole market, prices did not move in the way the tax predicts. When the same company traded with and without the tax, the taxed line was not cheaper. Whatever depresses UK valuations, it does not appear to be capitalised stamp duty.

This does not mean the tax is harmless. It reduces trading, as the AIM turnover response shows, and the bid pattern in point 3 leaves open a link to takeovers that does not run through prices. The bid evidence is a cross-country correlation, and the within-UK test is too imprecise to confirm it.

Our price results differ from Bond, Hawkins and Klemm (2004), who found that UK share prices rose when stamp duty was cut in the 1980s, more so for frequently traded shares. Those cuts were larger (from 2% to 0.5%), and the market was different. A reconciliation would be useful.

Notes

These are first-pass estimates. The AIM test uses the announcement date; if the exemption was expected earlier, part of the response would have happened before it. Datastream market values are recorded in currency units and were converted. SDC country codes for the Netherlands, Austria and Finland differ from ISO codes, which we corrected before linking. Twin-share comparisons use unadjusted US-dollar closing prices in windows where the equalisation ratio was 1:1.

References. Amihud, Y. and H. Mendelson (1986), Asset pricing and the bid-ask spread, *Journal of Financial Economics* 17, 223–249. Bond, S., M. Hawkins and A. Klemm (2004), Stamp duty on shares and its effect on share prices, IFS Working Paper 04/11. Froot, K. and E. Dabora (1999), How are stock prices affected by the location of trade?, *Journal of Financial Economics* 53, 189–216.